

Startup Finance

SAFE

Funding Explained

Simple Agreement
for Future Equity



Investor gives Cash Now! Gets Equity Later



No
Interest
Rate

No
Maturity
Date

No
Repayment

Unlike a loan or convertible note, the
startup owes the investor nothing in cash.
Equity is the only return



2025 Market Stats

92%

of pre-priced rounds
use SAFEs (Q3 2025)

\$10M

median post-money cap
for \$250K - \$1M rounds

72%

of SAFEs use cap-only
post-money structure

\$15M

median cap for \$1M -
\$2.5M rounds

The most important SAFE term to know

Max Valuation

at which a SAFE converts to equity.

Protects early investors if the company grows fast.

Ownership % = Investment ÷ Post-Money Cap

\$500K ÷ \$5M cap = 10% ownership

Example:

You invest \$500K on a \$5M cap. Series A closes at \$25M valuation.

You still convert at \$5M pricing — getting 5× more shares than Series A investors.

Founders bear the cost of that differential.



3 more terms every Founder must know



Discount Rate

% price reduction vs. next-round investors.

20% discount → convert at \$0.80 per \$1.00 share.

Gives more shares per dollar as an early-risk reward.

MFN Clause (Most Favored Nation)

Auto-upgrades early investor to the best terms given to any future SAFE investor. Use selectively — reduces your flexibility in later negotiations.

Pro-Rata Rights

Option to invest in the next round to maintain ownership %. Limit to your largest check writers.

Do not grant broadly across all SAFE holders.

When does a SAFE become equity?

Series A

Priced equity round closes

Acquisition

Company is bought out

IPO

Company goes public

The 4 SAFE Types

Cap, no discount

72% of SAFEs · most common

Discount, no cap

Uncommon · niche use

Cap + discount

Earliest angels · highest risk

Uncapped MFN

Bridge rounds only



Do's & Don'ts

- Use YC post-money template unmodified — always
- Model dilution before every new SAFE you sign
- File Form D with SEC within 15 days of closing
- Limit pro-rata rights to your top 2-3 investors only

- Stack SAFEs without tracking dilution math
- Give pro-rata rights to all SAFE holders
- Use old pre-money SAFE templates
- Skip the SEC Form D filing (it's required)

Need help modelling your cap table before your next raise?



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